[1] The exchange rate, or more appropriately the nominal exchange rate, defines the number of units of domestic currency that is needed to buy one unit of foreign currency; for example, ₹60 is needed to buy one dollar. A decrease in this number denotes nominal appreciation of the domestic currency while an increase in the number denotes nominal depreciation. Thus, if the rupee moves from ₹60 to a dollar to ₹50 to a dollar, it is said to have appreciated in nominal terms and vice versa.

[2] The actual CAD in 2013–14 was 1.7 per cent of GDP.

[3] The real exchange rate defines the purchasing power of two currencies relative to each other. While two currencies may have a nominal exchange rate in the forex market, it does not mean that the goods and services purchased in one currency cost an equivalent amount in the other currency converted at the nominal exchange rate. This straightforward calculation will change if the two jurisdictions have different inflation rates. The real exchange rate is thus the nominal exchange rate adjusted for the differing rates of inflation. For example, if India has higher inflation than the US, the rupee can get 'strong' relative to the dollar in real terms even if the nominal exchange rate does not move.

[4] The Reserve Bank does, however, disclose its monthly total interventions with a lag of a month.

[5] Drawn from an article by Vivek Kaul in the *DNA* of 7 August 2013.

[6] Indeed, the public expects policymakers to respond to every situation even though there are situations when the most sensible thing, from a long-term perspective, for policymakers to do is not to do anything at all. This dilemma was illustrated very lucidly in a creative video presentation on the differing ideologies of Keynesian and Austrian prescriptions for the global crisis. In the video, featuring a boxing match between Keynes and Hayek, Keynes asks Hayek about what he would do when unemployment is rising. Hayek trots out a few long-term prescriptions. But in the short-term, he would like the government to be a standstill goalkeeper. Sensible maybe, but virtually impossible in the shrill democracies of today.